GLADSTONE LAND CORP LAND S

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by funkycold87

			2025	2026
Price:	9.11	EPS	-0.50	-0.48
Shares Out. (in M):	36	P/E	N/A	N/A
Market Cap (in $M):	330	P/FCF	25x	22x
Net Debt (in $M):	918	EBIT	31	32
TEV (in $M):	1,247	TEV/EBIT	41x	38
Borrow Cost:	General Collateral			

Description

High-level overview:

- LAND, a farmland REIT, is likely to face headwinds in the near future that will be highly disruptive to is substantial California portfolio which comprises almost two-thirds of its total real estate portfolio and represents greater than 2.5x LAND's market capitalization.
- Labor issues and water sourcing have been problems for the industry that seem to be getting materially worse recently.
- The company is highly leveraged and is already facing issues like increased vacancies.

Set up: why did we look?

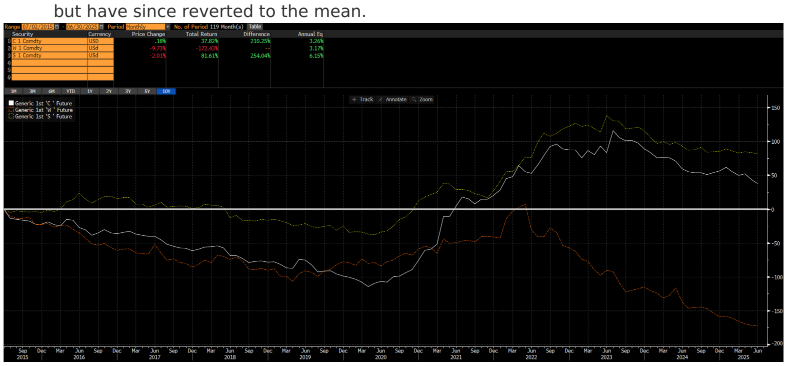
- Immigration trends should impact farm labor but LAND stock still seems to be ignoring this risk.
- LAND is a relatively low cash flow generating businesses and seem to trade more on macro drivers like inflation – accordingly its investor base may be missing the bigger issue with labor constrains and the financial condition of its farm tenants.

Background/History:

- LAND is run by David Gladstone, who also manages 2 publicly traded BDCs and a net lease REIT; Gladstone has been around for decades, previously CEO at Allied Capital years prior to their collapse and prior to Einhorn's book as well as serving as Chairman of American Capital (ACAS), another failed BDC.
- LAND IPO'd in 2013 with 1,631 acres and has grown through acquisition; today has over 103,000 acres.
- Shares seem to be largely held by passive index funds.

Why has the stock been strong/weak?

- Shares rallied massively post the pandemic reaching a high of $40+ per share driven by increasing land values and the benefits of high leverage when speculation is in favor.
- Farmland was starting to gain attention as an attractive asset class that could hedge against inflation; that worked until the Fed increased rates 11 times from March 2022 through July 2023 which brought prices back down to normal levels.
- After years of stagnation, many of LAND's farm crops experienced significant increases in price in 2020 to 2022 (Corn, Wheat, Soybean) which also helped fuel the stock price but have since reverted to the mean.



What we've found:

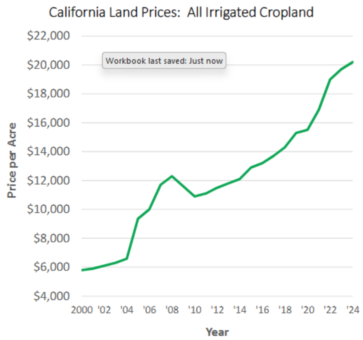
Summary thesis:

- LAND seems like a short.
- It has been a low cash flow generating entity that has benefitted from improving commodity prices as well as momentum around improving land prices in recent years.
- But the business is highly leveraged (~14x debt and preferred to EBITDA) and is now about to face major headwinds from immigration enforcement and the ensuing labor shortages.
- In addition, its high concentration in California also exposes them to potential risks like reduced water rights, fires or a recent fruit fly infestation in one of its key geographies, Kern County.
    - Kern County (net of encumbrances) alone accounts for approximately 48% of the company's market cap.
- While tenants probably have insurance, the complexities of operating these farms has certainly increased.

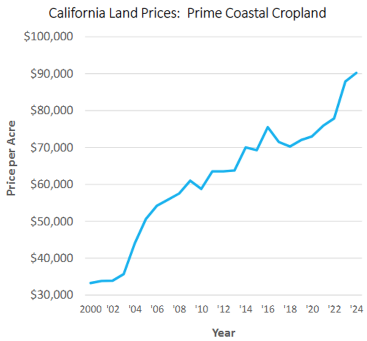
Pros (risks to a short):

- **Favorable Crop mix:** LAND's core crops include fresh produce like fruits and vegetables and permanent crops like blueberries and nuts and these are higher profitability and rental income than commodity crops like corn wheat or soy.
    - **Less Government dependency:** There is also lower government dependency as these crops are generally profitable without subsidies.
    - **Lower price volatility:** according to management they also exhibit less price volatility than corn wheat and soy.
    - **Redevelopment potential:** These crops can also be closer to major urban centers and could have redevelopment potential.
- **Decreasing supply of land:** Due to redevelopment and limited access to water, there is a tight and decreasing supply of farm land as well as a steadily increasing demand for food.
    - As a consequence California farmland has appreciated approx. 5% a year since 2000.

CALIFORNIA IRRIGATED CROPLAND
HAS APPRECIATED IN VALUE BY 248%*



PRIME COASTAL CALIFORNIA CROPLAND
HAS APPRECIATED IN VALUE BY 171%*



GLADSTONE LAND

Note: * Appreciation figures exclude annual rental income earned on the farms
Source: USDA; California ASFMRA (2025)

- Decrease in total supply: According to the World Bank Group arable land per capita has decreased by approximately 50% from 1961 to 2021 - per LAND 10-K.
- **Technology and Automation:** the recent developments in technology and automation are helping to improve crop yields through optimization as well as reduced labor needs for more mundane tasks; this could improve the profitability of farms in the future (note however, it could also have the opposite effect and drive down the price of commodities).
- **Take-**out risk: the company claims that based on land market values shares should be worth around $15/share (however they have discontinued this appraisal as of Q4/24 as they claim the cost was too high).

Cons:

- **LAND's California exposure** is high at 67% of the total portfolio and around 851M in land value on the balance sheet. This alone is more than 2.5x the market cap of LAND (~330M MC).
  - Labor shortage: There is evidence that immigration raids are impacting undocumented worker participation. (see various articles below):

https://www.vcstar.com/story/news/local/2025/02/05/trump-immigration-ventura-county-agriculture/78214722007/

https://www.reuters.com/business/immigration-raids-leave-crops-unharvested-california-farms-risk-2025-06-30/#:~:text=The%20Reuters%20Tariff%20Watch%20newsletter,field%2C%20but%20today%20just%2017

https://www.npr.org/2025/06/16/nx-s1-5430846/farming-industry-immigration-ice-worksite-enforcement-trump

https://www.fresnobee.com/news/local/article308451240.html

  - Fruit fly infestation: There is also a potential fruit fly infestation in their largest geography Kern County

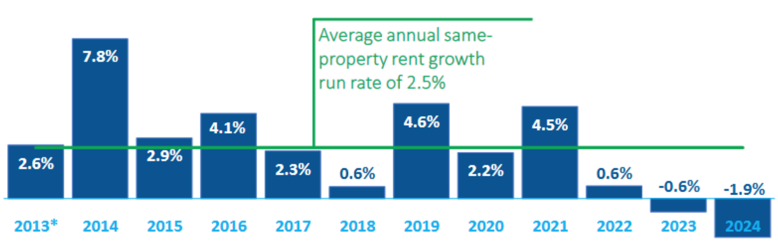
https://www.thecooldown.com/outdoors/invasive-fruit-flies-kern-county-california/

  - FPI, the other significant farmland REIT is not excited about CA. FPI would be willing to sell out of CA;
    - Paul Pittman, Executive Chairman of FPI, on Q1/25 call "I've made relatively negative comments about California in recent calls....they unfortunately are not recovering...we will frankly continue to lessen our exposure to California".
    - FPI on their most recent Q2/25 call impaired multiple farms in California with 2 of the farms taking impairments of around 50% of its cost basis.
    - The source of the impairment seems to be a groundwater management law that has recently reduced water access in the region.
- **Leverage:** the company has almost 14x debt and preferred to EBITDA
  - Debt: there is mortgage debt of around 529M.
  - Preferred: there is around 461M of preferred stock in total.
  - EBITDA: is around $63-64M, which works out to over 14x debt and preferred to EBITDA.
  - REITs also have a very difficult time reducing leverage as they are required to pay out 90% of their taxable income.
- **Cash flows:** due to the heavy debt load and preferred dividends the company does not generate much in cash flows.

	Estimated	
EBITDA	63.0	
Interest expense net of income	(19.0)	
Preferred	(27.0)	
Free cash flow	17.0	
Dividend	(20.3)	
Shortfall	(3.3)	
Dividend coverage	0.837x	<---not covering the dividend

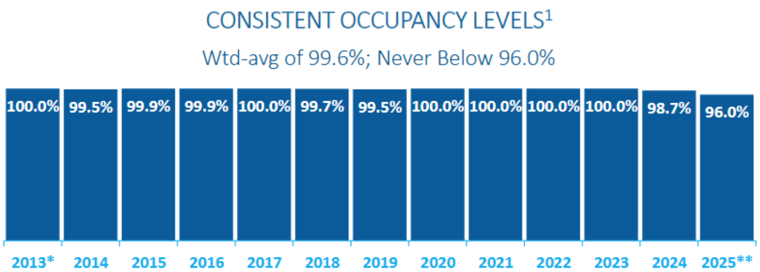
- **Dividend coverage:** based on Street EBITDA for the year they will be short on the dividend. As of Q1/25 they have 28M of debt due over the next 12 months (see Q1/25 transcript) of which 17M is scheduled principal amortization.
  - The increase in "participation rents" will also make it more difficult to predict their interest coverage cushion as it will be dependent on crop yields and prices.
- NOI also seems to be in decline driven by increased vacancies:

YEAR-OVER-YEAR SAME-PROPERTY RENTAL INCOME GROWTH RATES[2]



- **Overhead burden:** LAND has about $13M of overhead (comprised of a management fee, admin fee and G&A) per year, assuming this is roughly stable and maybe growing a 10x multiple is not unreasonable implying there should be around 36% of the market cap in overhead. (note this is not accounted for in their NAV calculation)
  - This could be higher as the incentive fee (in addition to the management fee) is around 20% above 7% FFO yield on their adjusted equity.

- **Valuation:** although the market has always seemed to value this business based on underlying land values, given the amount of risk in recent quarters this might be a paradigm change and there might soon be more downside especially if the dividend is cut.
- **NAV calculation:** the company used to report a net asset valuation based on an appraisal each quarter (they stopped reporting in Q1/25). This NAV Fell from $20.33 in Q3/23 to $14.91 in Q4/24 (-27%). But there are a few adjustments made by management that might inflate the values reported.
    - They include an adjustment to reflect the market value of their debt and preferred which they have been repurchasing. This seems inappropriate as they might not be able to retire all of this debt at a discount. Also the debt could be at a discount because the equity is possibly impaired. This adjustment amounts to around $2.80 of the NAV.
    - They do not account for the overhead burden paid by shareholders of around $13M or greater per year. Again, as discussed above, at 10x cash flows this would amount to around $3.59/share.
    - Deducting both of these would get a net NAV of around $8.50. and the current trend has been a decline in the value of LAND's assets – possibly one of the reasons management decided to discontinue reporting as of Q4/24.
- **Recent vacancies:** after over a decade of near perfect occupancy, vacancies have started to increase with occupancy slipping to 96% from 99%-100% for much of the past decade.
    - Note that these are triple net leases. If a property becomes vacant LAND is responsible for maintenance and taxes that would have previously been paid by the tenant. This liability is not accounted for in the NAV calculation either. This is from LAND's presentation:



    - Distress: In Q1/25 they had 10 properties (encompassing 14 of 150 farms) that were either vacant, being direct-operated via agreements with third-party management groups, or where current tenants were behind in their payments and on non-accrual status.
        - This is up from 9 properties and 12 of 150 farms in Q4/24.
        - In Q4/24 they had 26 farms that were vacant, direct operated or leases recognized on cash basis.
    - Net gains are not really gains: Q4/24 They sold 12 farms in FL and MI for 70M and a 10M net gain. Note, however, that accumulated depreciation is around 14% of net land value implying they sold these at or around cost basis. This would make sense as the yields on cost have been fairly flat over time. Without land value appreciation, this business generates relatively little cash flows and should not appreciate by much over time.
- Contingent or "participation" rents:
    - In 2024 they had 7 leases where they eliminated the base rent in exchange for participation rents to be recognized in the 2nd half of 2025 – I view this as a bad sign as farmers must be under significant stress to need to access this relief.
    - They had 12 permanent crop farm leases that renewed and had a 8.6% decline in NOI from prior lease. Also a bad sign as rents are falling and negotiating leverage is going to farmers.
- Costly preferred: the company pays a 10% commission on their preferreds –

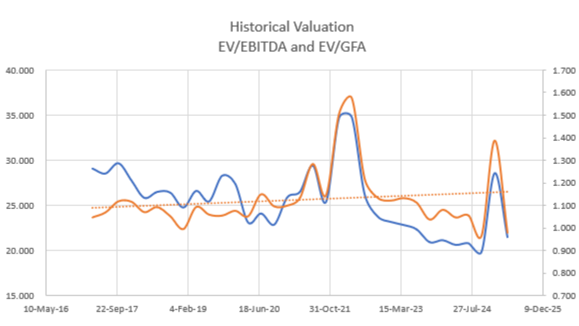
"Under the Series E Dealer-Manager Agreement, Gladstone Securities provides certain sales, promotional and marketing services to the Company in connection with the Series E Offering, and the Company pays Gladstone Securities (i) selling commissions of up to 7.0% of the gross proceeds from sales of Series E Preferred Stock in the Series E Offering (the "Series E Selling Commissions"), and (ii) a dealer-manager fee of 3.0% of the gross proceeds from sales of Series E Preferred Stock in the Series E Offering (the "Series E Dealer-Manager Fee")."

- **Nut prices under pressure:** LAND believes that farmland that grows fresh produce and permanent crops is superior investment to growing commodity like corn wheat or soy – but currently nut prices have been under pressure.

Valuation:

LAND still trades at almost 20x EBITDA and only a 3.5-4% FCF yield on equity due to high interest and preferred dividend costs.

- Since being public LAND has never traded far below its cost basis on land, but that was because occupancy had always been 100% and there was little distress in the portfolio. With cash flows under pressure and the dividend currently uncovered by current earnings prior valuation floors could be breached.
- Now with rents falling, vacancies rising, non-accruals growing, and potential further risks in California from immigration impact to labor, valuations are just starting to reflect the increased risk.
- A small impairment to the CA portfolio would have a magnified effect on LAND's equity given the amount of leverage and high concentration in CA. FPI has had to mark down certain farms by 50% in their latest quarter.



Peers:

The only truly comparable company to LAND is FPI

Some key differences:

- FPI is much less leveraged at around 7.7x (including preferreds) v. LAND at 14.8x
- FPI's crops are 90% row crops like corn, soybeans, wheat, rice and cotton – 60% of its total portfolio value;
- FPI has less California exposure which is mostly in permanent crops (tree nuts, citrus and avocados) accounting for ~40% of portfolio value.

Other peers are companies like lumber REITs and triple nets REITs which all trade at lower multiples

PEER	COMPANY	ENT.	MKT	EV/	P TO FFO			EV TO EBITDA			EV TO Sales			SALES GROWTH		
GROUP	NAME	VALUE	CAP.	GFA	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
LAND US	Gladstone Land Corp	1,296	379	0.98x	25.7x	22.5x	24.4x	20.63x	20.43x		16.44x	15.23x	14.93x	-7.5%	7.9%	2.0%
FPI US	Farmland Partners Inc	764	543	1.03x	37.1x	37.9x	29.5x	27.23x	27.57x		15.67x	16.21x		-16.3%	-3.4%	
O US	Realty Income Corp	79,288	51,855	1.32x	13.4x	13.0x	12.6x	15.80x	14.81x	14.05x	14.46x	13.82x	13.34x	4.1%	4.6%	3.6%
NNN US	Nnn Reit Inc	12,633	8,147	1.15x	12.8x	12.5x	12.0x	15.12x	14.47x	13.76x	13.88x	13.30x	12.70x	4.7%	4.3%	4.7%
GTY US	Getty Realty Corp	2,446	1,533	1.23x	12.2x	11.8x	11.4x	13.91x	12.65x	11.78x	11.55x	10.67x	10.53x	4.2%	8.2%	1.4%
PSTL US	Postal Realty Trust Inc- A	798	423	1.20x	13.2x	12.7x	12.2x	15.30x	13.25x	11.55x	8.83x	7.91x	6.98x	18.4%	11.6%	13.2%
EPR US	Epr Properties	7,831	4,470	1.25x	11.6x	11.2x	11.0x	14.15x	13.69x	13.18x	11.68x	11.41x	11.17x	-4.0%	2.4%	2.2%
WY US	Weyerhaeuser Co	23,370	18,763	1.61x	51.7x	51.7x		16.40x	14.12x	12.47x	3.21x	3.04x	2.93x	2.3%	5.4%	4.0%
PCH US	Potlatchdeltic Corp	4,025	3,116	1.31x	49.6x	36.0x		15.56x	13.33x	13.00x	3.71x	3.56x	3.58x	2.0%	4.5%	-0.6%
RYN US	Rayonier Inc	4,462	3,550	1.84x				20.01x	18.15x	18.25x	7.31x	8.67x	8.73x	-51.7%	-15.7%	-0.7%
Median					**13.3x**	**12.9x**	**12.1x**	**15.56x**	**14.12x**	**13.09x**	**11.55x**	**10.67x**	**9.63x**	**2.3%**	**4.5%**	**2.9%**
As of:	7/7/2025															

Conclusion

- LAND is a decent short candidate
- The stock's elevated valuation has held up over time due to a benign environment and little operating risk
- That is now changing with current weakening trends in their portfolio (higher non-accruals, higher vacancies and declining NOIs) driven by weaker commodity prices
- Increased risk from water sourcing and immigration raids in their core market California, are going to add to the problems.
- Shares are more vulnerable to the downside today than in its history
- The shareholder base also seems to be largely retail and/or passive funds that likely are macro driven and/or thematic.

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Catalyst

Future vacancies and further pressure in California stemming from tight supply of labor and water rights

Potential dividend cut

Messages

No messages